

BA/XA retrace. I select the first two turns, X and A, as a significant minor high and low, respectively. Then I look for turn B, which should create a .618 ratio of leg BA to XA. For [Figure 37.2](#), I use the high at X (177.27), low at point A (149.87), and the high–low range of the last point of the three, B, at 167.32 to 164.82. The thinking here is that the high–low range of the price bar at B should encompass the .618 number. Looking for too narrow a window will reduce the pattern count (but may improve performance).

Plugging the values into the ratio using the high at B, we get $(167.32 - 149.87)/(177.27 - 149.87)$ or .64. Using the low at B, we get $(164.82 - 149.87)/(177.27 - 149.87)$ or .55. Thus, the range of .55 to .64 encompasses the target .618 Fibonacci number. Turn B qualifies as valid.

BC/BA retrace. I use the same method to find turn C, which has a high–low price of 159.55 to 151. I use the high at B, the low at A, and the high–low range at C (the last turn in the triplet). Plugging the numbers into the BC/BA ratio gives a range of .445 to .935. That range should include at least one of the numbers listed in [Table 37.1](#) for this line item, and it does (all except .382). Turn C is a good egg.

DC/BC extension. Extensions use the same method as retraces. This time, we're trying to find point D, so that's the one I use the high–low price range on. D has a range of 171.71 to 168.50. Plugging them into the equation using the high at B, low at C, and the high–low range at D gives 1.07 to 1.27. That range includes two of the Fibonacci numbers listed in the table. Turn D is a valid part of the Gartley.

DA/XA retrace. Finally, with the DA/XA retrace, I use a different method. I use the high at X, low at A, and high at D, but turn D must be within 3% of the target .786 number. Using the numbers in the formula gives .80, which is within 3% of .786.

Volume. Volume trends downward between 65% and 71% of the time, according to research I did on the pattern. See [Table 37.2](#) for more information.

Duration. I limited bearish Gartleys to no more than 6 months long. This is an arbitrary limit.